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Case Number: 26STC06675 Hearing Date: August 21, 2026 Dept: 309

Superior

Court of California

County

of Los Angeles

DEPARTMENT 17

TENTATIVE RULING

GOLDEN

STATE PALMS, INC.

vs.

FENIGSTEIN & KAUFMAN, LLP

Case No.: 26STCV06675

Hearing

Date: August 21, 2026

Defendants'

special motion to strike is DENIED.

On

2/27/2026, Plaintiff Golden State Palms, Inc. (Plaintiff) filed suit against

Fenigstein & Kaufman, LLP, Jack Fenigstein, Steven Rosenfeld, and David

Tilles, alleging: (1) legal malpractice; and (2) breach of fiduciary duty.

On

7/9/2026, Defendants Fenigstein & Kaufman (F&K), LLP, Jack Fenigstein, Steven Rosenfeld (collectively, Defendants) specially moved to strike Plaintiff's Complaint.

Legal

Standard

On a

special motion to strike pursuant to Code of Civil Procedure (CCP) section 425.16, also known as an anti-SLAPP motion, moving parties have the initial burden to demonstrate that a cause of action is subject to a special motion to strike. (Martinez v. Metabolife Inter.

Ins. (2003) 113 Cal.App.4th 181, 186; Fox

Searchlight Pictures Inc. v. Paladino (2001) 89 Cal.App.4th 294, 304.)

First, the court must determine whether moving parties have made a prima facie showing that the attacked claims arise from a protected activity, including defendants' right of petition, or free speech, under a constitution, in connection with issues of public interest. (Healy v. Tuscany Hills Landscape & Recreation Corp. (2006) 137 Cal.App.4th 1, 5; Soukup v. Law Offices of Herbert Hafif (2006) 39 Cal.4th 260, 278; Code Civ. Proc., § 425.16, subd.

(e).) Moving parties can satisfy this burden by showing (1) statements made before legislative, executive or judicial proceedings, or made in connection with matters being considered in such proceedings, or (2) statements made in a public forum, or other conduct in furtherance of the exercise of the constitutional rights of petition or free speech, in connection with issues of public interest. (CCP § 425.16, subd. (e); Equilon Ent., LLC v. Consumer Cause, Inc. (2002) 29 Cal.4th 53, 66.)

If the

court finds this showing has been made, it must dismiss the cause of action unless the plaintiff meets its burden to demonstrate a probability of prevailing on the claim. (Code Civ. Proc., § 425.16, subd.

(b)(1); Balzaga v.

Fox News Network, LLC (2009) 173 Cal.App.4th 1325, 1336.)

This means that the plaintiff must state a legally sufficient claim and must then present evidence that substantiates or sustains the claim. (Equilon Enterprises

v. Consumer Cause, Inc. (2002) 29 Cal.4th 53, 61; see also Wilson

v. Parker, Covert & Chidester (2002)

28 Cal.4th 811, 821 [plaintiff “must demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment if the evidence submitted by the plaintiff is credited”].)

Factual Background

Here,

Defendants represented Plaintiff in connection with various real estate transactions from 2013 through 2018, including deeds of trust (DOTs). (Comp. ¶¶ 11-44.)

F&K

prepared and recorded a DOT against 3269 D Street, Hayward, California (the Property) on 8/13/2015 (the 2015 DOT). (Comp. ¶ 20.) Plaintiff agreed to reconvey the 2015 DOT. (Comp. ¶ 33.) F&K prepared a 2017 DOT, which was recorded against the Property on June 30, 2017. (Comp. ¶ 34.)

In 2018,

F&K prepared and recorded a further deed of trust in favor of Plaintiff (the 2018 DOT). (Comp. ¶ 37.) Plaintiff alleges Defendants undertook representation of 3269 D Street, LLC (the Purchaser), which purchased the Property. (Comp. ¶ 38.) According to Plaintiff, F&K’s representation of the Purchaser created an alleged conflict, and Defendants’ actions led Plaintiff’s CFO to issue a “zero-demand.” (Comp. ¶¶ 38-40.) On 5/25/2018, the Property was sold to the Purchaser, and Plaintiff’s 2017 DOT was reconveyed and released in connection with the sale. (Comp. ¶ 43.)

On 6/21/2024,

the Purchaser sued Plaintiff in 3269 D Street, LLC v. Golden State Palms, Inc., Case No. 24CV080838 in Alameda County Superior Court (the Quiet Title Action) to quiet title regarding the 2018 DOT, alleging that the prior zero-demand rendered the 2018 DOT invalid and challenging drafting references to a March 22, 2015 date. (Comp. ¶ 45; Breucop Decl., Ex. A.) On 8/5/2024, Plaintiff filed a cross-complaint in the Quiet Title Action. (Breucop Decl., Ex. B.)

Discussion

Defendant

argues that Plaintiff's Complaint implicates protected activity as it "is based on a declaration that Mr. Rosenfeld as a fact witness in support of a motion for summary judgment that was ultimately denied." (Motion, 2: 12-13.) Defendant argues that Plaintiff cannot show a likelihood that it will prevail on its claims against Defendants because: (1) the Plaintiff's causes of action are barred by under Code of Civil Procedure section 340.6; and (2) Defendants other conduct (namely Mr. Rosenfeld's declaration) falls squarely within the litigation privilege under Civil Code section 47 and, therefore, cannot form the basis of any liability against Defendants.

The

California Supreme Court has held that protected petitioning activity includes communicative conduct such as the filing, funding, and prosecution of a civil action. (Rusheen v. Cohen (2006) 37 Cal.4th 1048, 1056.)

Here, Plaintiff

alleges "Defendants have assisted 3269 D Street, LLC [i.e., the Purchaser] in this litigation [i.e., the Quiet Title Action] and have refused to assist GSP." (Comp. ¶ 49; see also id. ¶ 71.)

Defendants contend

that their only involvement in the Quiet Title Action was Mr. Rosenfeld's involvement as a fact witness, via a declaration submitted in support of the Purchaser's motion for summary judgment, which was denied. (Breucop Decl., Ex. C; Rosenfeld Decl., Ex. A; Rosenfeld Decl. ¶ 4.) Mr. Fenigstein has had no involvement in the Quiet Title Action, and neither Mr. Fenigstein nor Mr. Rosenfeld represented any party in connection with the Quiet Title Action.

As such,

Defendants contend that any asserted liability against it is based on Mr. Rosenfeld's declaration submitted in the Quiet Title Action, and thus falls squarely within the protected activity of "(1) any written or oral statement or writing made before a . . . judicial proceeding[.]" (Code Civ. Proc. § 425.16, subd.(e)(1).)

The Court

agrees that filing a declaration in lawsuit as a fact witness would fall within the definition of Code of Civil Procedure section 425.16 subdivision (e). (See

Kemps v. Beshwate (2009) 180 Cal. App. 4th 1012, 1018 [declaration submitted by defendant to obtain a bench warrant “arose from respondents’ exercise of constitutionally protected conduct in a judicial proceeding”].)

However, in

opposition, Plaintiff contest Defendant’s narrow characterization of the allegations. More specifically, Plaintiff contends this is a garden-variety legal malpractice claim, related to Defendants’ negligence and ethical breaches, which goes far beyond the filing of a single declaration. In support, Plaintiff points to at least five ways that F&K allegedly acted negligently and breached its professional obligations: (1) Mistakenly Advising Mayer he was required to execute “zero payoff” demands; (2) Failing to correctly identify the 2015 CFA in the 2017 DOT and the 2018 DOT; (3) Failing to obtain consent to dual adverse representation; (4) Failing to protect attorney-client communications; and (5) Advising Mayer to take unauthorized action.

California

Courts have held that “‘actions based on an attorney’s breach of professional and ethical duties owed to a client’ are generally not subject to section 425.16 ‘even though protected litigation activity features prominently in the factual background.’” (Sprengel v. Zbylut (2015) 241 Cal. App. 4th 140, 151 (quoting Castleman v. Sagaser (2013) 216 Cal. App. 4th 481, 491). For example, in Benasra v. Mitchell Silberberg & Knupp LLP (2004) 123 Cal. App. 4th 1179, the plaintiffs alleged their former attorney had violated the duty of loyalty by accepting representation of a rival company. The defendants brought a motion to strike the complaint, arguing that their representation of the plaintiffs’ rival was a protected activity. The court disagreed, ruling that the plaintiffs’ claims were not “based on” the legal services the defendants had provided to the rival company, “but rather [were based on their] fail[ure] to maintain loyalty to ... a client.” (Id. at p. 1189.) The court explained that the “breach [of loyalty] occurs not when the attorney steps into court to represent the new client, but when he or she abandons the old client.... In other words, once the attorney accepts a representation in which confidences disclosed by a former client may benefit the new client due to the relationship between the new matter and the old, he or she has breached a duty of loyalty.” (Id.; see also Freeman v. Schack (2007) 154 Cal. App. 4th 719 (claim based on an attorney’s breach of the duty of loyalty to a former client did not “aris[e] from” protected activity, even though the attorney’s litigation conduct on behalf of new client was a “major focus” of the complaint); Jespersen v. Zubiate-Beauchamp

(2003) 114 Cal. App. 4th 624, 629-32 (rejecting defendant's "attempt to turn garden-variety attorney malpractice into a constitutional right".)

After review,

the Court agrees that Plaintiff's claims arise from legal malpractice, not the Rosenfeld Declaration (which is not actually referenced anywhere in the Complaint.) As such, it is not protected activity within the meaning of the anti-SLAPP statute. Moreover, even assuming Plaintiff's Complaint had included allegations based on the Rosenfeld Declaration, Defendants' anti-SLAPP would still fail. "Where a cause of action alleges both protected and unprotected activity, assertions within a cause of action will not be subject to a special motion to strike where the protected conduct is 'merely incidental' or 'collateral' to the unprotected conduct. Allegations of protected activity that merely provide context, without supporting a claim for recovery, cannot be stricken under the anti-SLAPP statute." (Sheley v Harrop (2017) 9 Cal. App. 5th 1147, 1175. At most, "Allegations of protected activity supporting stricken claims are to be eliminated from the complaint, but allegations regarding non-protected activity are not. (Id.)

Accordingly,

the Court concludes that Defendants have failed to carry their burden to show that Plaintiff's Complaint is based on protected activity.

Based

on the foregoing, Defendants' special motion to strike is denied.

It is so ordered.

Dated: August
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must
send an email to the court at
by 4 p.m. the day prior as directed by the instructions provided on the court

website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative.

If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.